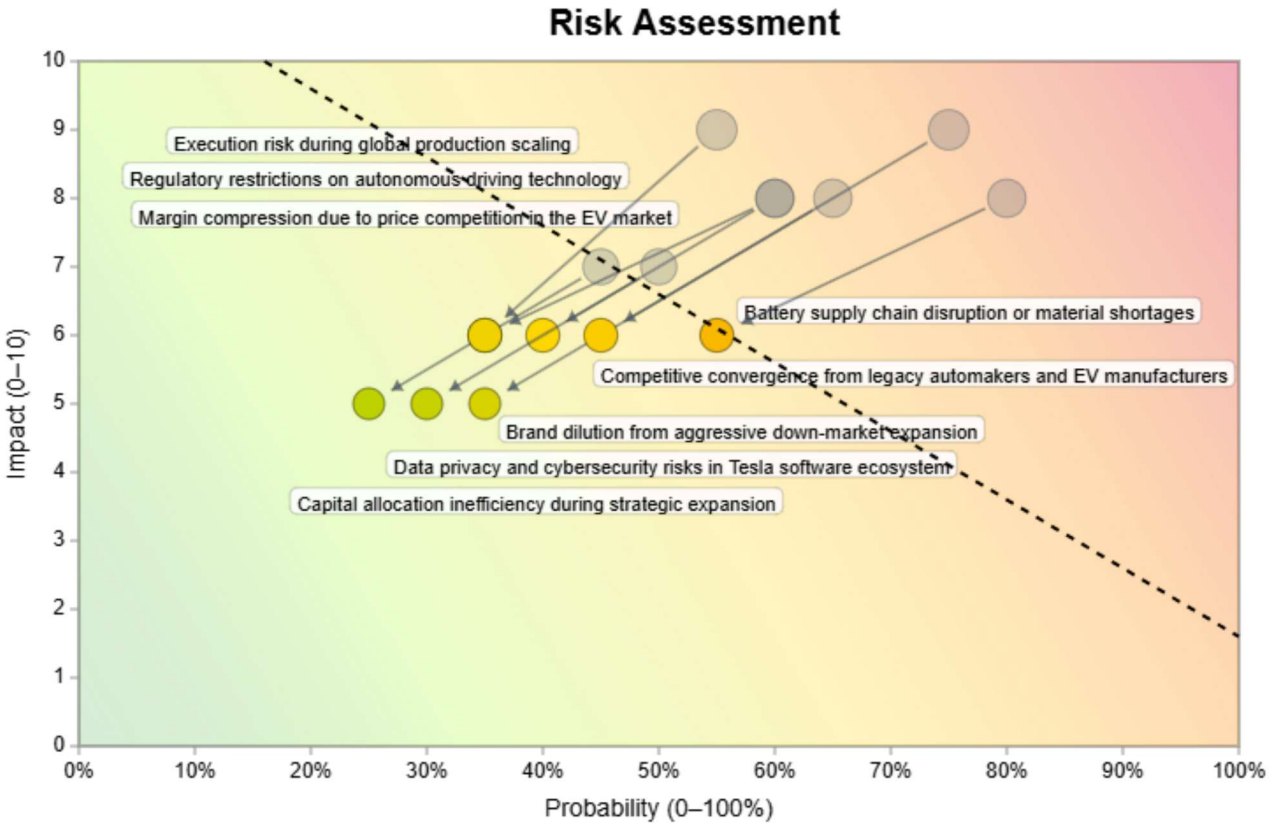
Tesla Strategic Recommendation Risk Register

Risk register supporting the differentiation-with-scale strategic recommendation for Tesla. Risks were identified through peer feedback and strategic analysis using SWOT, PESTEL, and competitive benchmarking. The register focuses on market competition, regulatory exposure, brand positioning, execution risk, and software ecosystem expansion.

Risk Threshold: 1.16

Chart



Risk Register

- Brand dilution from aggressive down-market expansion (Probability: 65%, Impact: 8) → Mitigated to (35%, 5)
- Margin compression due to price competition in the EV market (Probability: 75%, Impact: 9) → Mitigated to (45%, 6)
- Regulatory restrictions on autonomous driving technology (Probability: 55%, Impact: 9) → Mitigated to (35%, 6)
- Data privacy and cybersecurity risks in Tesla software ecosystem (Probability: 45%, Impact: 7) → Mitigated to (25%, 5)

- Execution risk during global production scaling (Probability: 60%, Impact: 8) → Mitigated to (35%, 6)
- Battery supply chain disruption or material shortages (Probability: 60%, Impact: 8) → Mitigated to (40%, 6)
- Competitive convergence from legacy automakers and EV manufacturers (Probability: 80%, Impact: 8) → Mitigated to (55%, 6)
- Capital allocation inefficiency during strategic expansion (Probability: 50%, Impact: 7) → Mitigated to (30%, 5)

Mitigation Plan

- **Brand dilution from aggressive down-market expansion** – Strategy: Mitigate – Details: Maintain a tiered product strategy separating premium Tesla models from lower-cost vehicles while preserving design quality, software differentiation, and ecosystem integration.
- **Margin compression due to price competition in the EV market** – Strategy: Mitigate – Details: Increase manufacturing efficiency through gigafactory optimization, vertical battery integration, and supply chain localization to maintain competitive cost structures.
- **Regulatory restrictions on autonomous driving technology** – Strategy: Mitigate – Details: Strengthen regulatory engagement, safety transparency, and compliance testing while deploying autonomy features incrementally to maintain trust with regulators.
- **Data privacy and cybersecurity risks in Tesla software ecosystem** – Strategy: Mitigate – Details: Implement stronger cybersecurity architecture, transparent data governance policies, and regular third-party security audits for Tesla software and connected vehicle systems.
- **Execution risk during global production scaling** – Strategy: Mitigate – Details: Phase production ramp-ups through staged manufacturing expansion, workforce training programs, and improved quality assurance monitoring across gigafactories.
- **Battery supply chain disruption or material shortages** – Strategy: Transfer – Details: Diversify battery suppliers, increase long-term procurement contracts, and expand internal battery manufacturing capabilities to reduce supply vulnerability.
- **Competitive convergence from legacy automakers and EV manufacturers** – Strategy: Mitigate – Details: Continue investing in proprietary software capabilities, charging infrastructure, and AI-driven vehicle features that are difficult for competitors to replicate quickly.
- **Capital allocation inefficiency during strategic expansion** – Strategy: Mitigate – Details: Implement disciplined investment governance using clear KPI thresholds, phased capital deployment, and regular strategic review of major expansion initiatives.